

Féidearthachtaí as Cuimse  
Infinite Possibilities

# Management Accounting

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Lecture 10: Budgeting  
Semester 1 - 2023/24



# What is a Budget?

## A Budget is

- A plan quantified in monetary terms,
- prepared & approved prior to a defined period of time
- usually showing planned income to be generated
- and planned expenditure to be incurred
- and the capital to be employed (spent)
- in the relevant period
- to obtain a given objective

Budgeting is concerned with the implementation of the long-term plan for the year ahead. It quantifies the long-term plan on a yearly basis.

# Reasons for producing Budgets

## 1. PLANNING

- Detailed planning is essential for budget preparation
- Therefore, planning of all activities & segments is ensured
- It forces managers to consider how conditions might change and what steps should be taken now
- It encourages managers to consider problems before they arise

# Reasons for producing Budgets

## 2. COORDINATION

- All departments / segments of a business come together and are reconciled in a common plan
- Ensures differences/conflicts are reconciled for the good of the org as a whole
- It compels managers to examine relationships between their own operations and those of other departments

# Reasons for producing Budgets

## 3. COMMUNICATION

- The final agreed budget provides an unequivocal record of expected performance by all units of the business
- Misunderstandings minimised
- Everyone in the organization should have a clear understanding of the part they are expected to play in achieving the annual budget.
- Ensuring appropriate individuals are made accountable for implementing budget.

# Reasons for producing Budgets

## 4. MOTIVATION

- If properly used, can provide powerful incentives
  - To employees and management, at all levels
- Provides a standard/challenge/target
  - Against which performance is measured
- Focuses on participation
- Can, however, sometimes be seen as a threat

# Reasons for producing Budgets

## 5. CONTROL

- Assists management to control the activities for which they are responsible
- Provides regular feedback
- Actual results are compared with budget
  - “Management by exception”
  - Attention directing
- Corrective action taken, or
  - Capitalise further on favourable developments

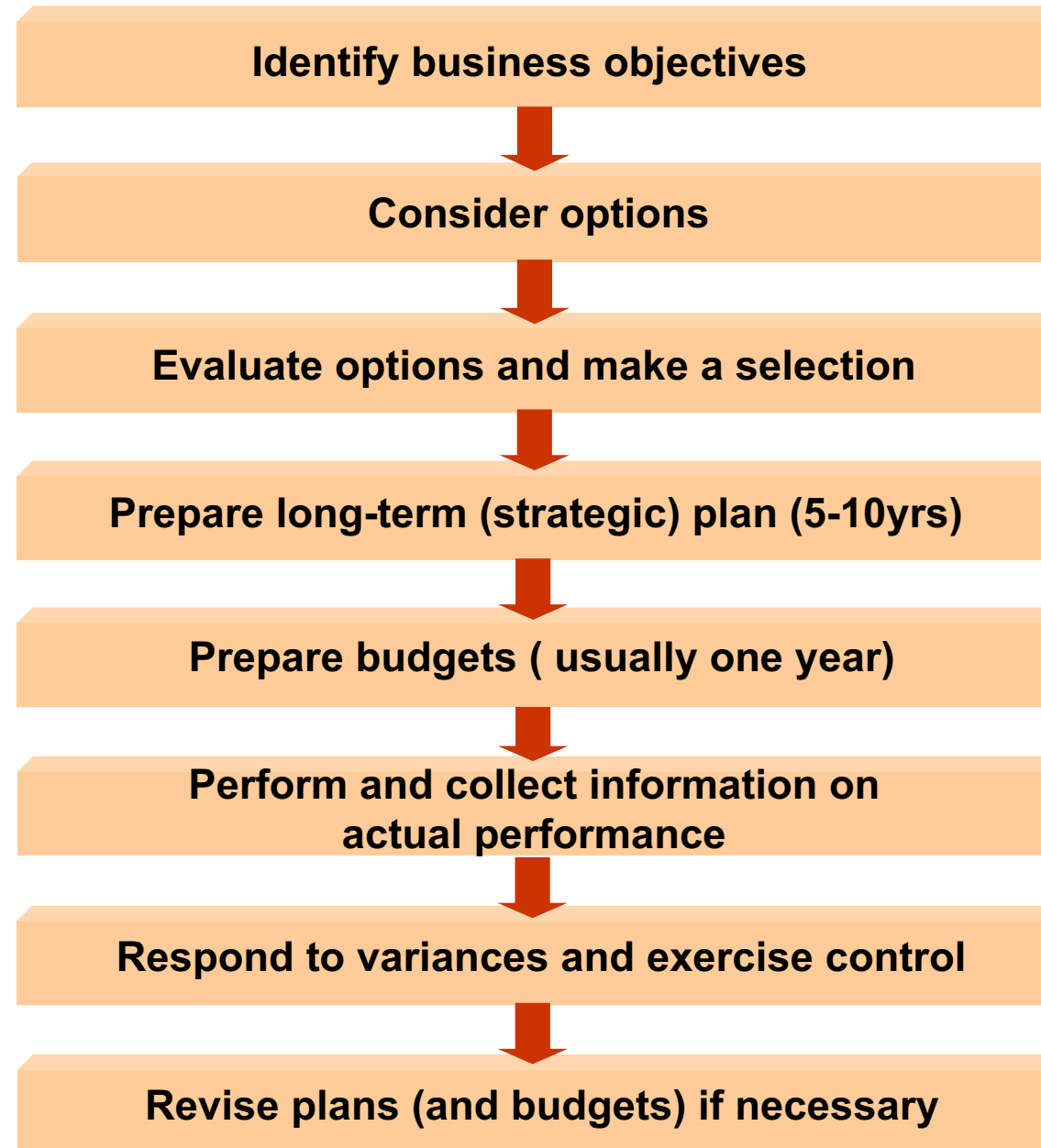
# Reasons for producing Budgets

## 6. PERFORMANCE EVALUATION

- Provides a yardstick against which actual performance is compared
- Necessary for motivation
- Necessary for control



# The planning and control process



# Budget Period

- the period for which the budget is prepared & used
- may be sub-divided into control periods
- usually one year, split into months / 13 four-week periods for control purposes
- Rolling Budget
- Ensures a 12-month budget at all times
- Forces continuous planning
- Budgeting a continuous process
- Actual compared to realistic target

# Functional Budgets

# Functional budgets

A Functional Budget is a budget which is associated with the functions of a business. A typical functional budget will consist of the following budgets:

## 1. Sales budget

Sales Budget (units)

Quantity of units we intend to sell

Sales Budget (€)

Sales budget (units) x Sales price

# Functional budgets

## 2. Production budget

- When determining how many units we need to produce for the period:

**Sales budget (units)**

**- Minus Opening Stock**

**+ Add Closing Stock**

- NOTE – Opening & Closing stock here refers to the stock of finished goods. Do not confuse with opening and closing stock of raw materials below.

# Functional budgets

## 3. Material

- Material usage budget (units)
  - Production budget (units) x material quantity per unit
- Material purchases budget (units)
  - Material Usage budget
  - Minus Opening Stock
  - + Add Closing Stock
- NOTE – Opening & Closing stock here refers to stock of raw materials. Do not confuse with opening and closing stock of finished goods above.
- Material purchases budget (€)
  - Material purchases budget (units) x material cost per unit

# Functional budgets

## 4. Labour

- Labour Budget (Hours)
  - Production budget (units) x labour hours per unit
- Labour Budget (€)
  - Labour budget (hours) x labour rate per hour

# Functional budgets

## 5. Overheads

- Variable Overhead Budget (€)
  - If overheads are absorbed based on units:
    - Production budget (units) x variable overhead rate per unit
  - or
  - If overheads are absorbed based on labour hours:
    - Labour budget (hours) x variable overhead rate per hour
- Fixed Overhead Budget (€)
  - If overheads are absorbed based on units:
    - Production budget (units) x fixed overhead rate per unit
  - or
  - If overheads are absorbed based on labour hours:
    - Labour budget (hours) x fixed overhead rate per hour



# Steps in functional budgets

- You may not need to calculate all the following budgets in a question, but if you do, they have to be prepared in the following order. The sales budget is required in order to prepare the production budget. The production budget must be prepared in order to prepare the material, labour or overheads budget.

## Step 1

- Determine the Sales Budget

## Step 2

- Determine the Production Budget

## Step 3

- Determine the Material Usage Budget
  - Determine the Material Purchased Budget

Or

- Determine the Labour Budget

Or

- Determine the Overheads Budget

## Question 1

A company wants to prepare an operating budget for the forthcoming period. Information regarding products, costs and sales levels is as follows:

| Product                      | A     | B     |
|------------------------------|-------|-------|
| <u>Materials required</u>    |       |       |
| X (kg)                       | 2     | 3     |
| Y (litres)                   | 1     | 4     |
| <u>Labour hours required</u> |       |       |
| Skilled (hours)              | 4     | 2     |
| Semi-skilled (hours)         | 2     | 5     |
| Sales level (units)          | 2,000 | 1,500 |
| Opening stocks (units)       | 100   | 200   |

Closing stock of materials and finished goods will be sufficient to meet 10% of sales demand. Opening stocks of material X was 300 kg and for material Y was 1,000 litres. Material prices are €10 per kg for material X and €7 per litre for material Y. Labour costs are €12 per hour for the skilled workers and €8 per hour for the semi-skilled workers.

### Requirement

- (a) Produce the following budgets:
- (i) production (units):
  - (ii) materials usage (kg and litres):
  - (iii) material purchases (kg, litres and €); and
  - (iv) labour (hours and €)

# Cash Budgeting

# Cash Budgeting

- A cash budget predicts cash receipts and expenditure for the future. It forms part of management accounting and is used for internal decision-making

# Difference between cash and profits

- Profit and cash are different.
- The cash budget records the transaction when the cash is estimated to be paid or received.
- The income statement records the transaction when it occurs or is committed. It is based on the accruals basis of accounting.
- For example, with sales, the cash budget records the sales revenue when the cash is received. But the income statement will record this transaction when it is deemed contracted.

# Difference between cash and profits

- Items in the income statement but not in the cash budget:
- Profit or loss on sale of a fixed asset.
  - When the asset is sold, the cash received from the sale will appear as a receipt in the cash budget. If there was a profit or loss on the sale this would only appear in the budgeted income statement.
- Depreciation
  - "Depreciation is the systematic allocation of the depreciable amount of an asset over its useful life". Depreciation does not represent a cash transaction and does not appear in the cash budget. It is treated as an expense in the income statement.
- Bad Debts
  - Bad debts are trade receipts that are expected to be uncollectable. They are written off as an expense to the income statement or against a bad debt provision. They are not cash items.

# Preparing a cash budget

- Typically prepared on a monthly or quarterly basis
- The cumulative cash balance is tracked throughout
  - i.e. the budgeted opening cash balance at the start of each month and the closing cash balance at the end of each month
  - The opening cash balance of Month X = The closing cash balance of Month X-1
  - Net cashflow = Cash receipts – Cash payments
- Used to assist in cash planning for the period
- The timing of cash receipts and payments is key

## Example

|                                                                                              |  |     |     |     |     |       |
|----------------------------------------------------------------------------------------------|--|-----|-----|-----|-----|-------|
| Net Cash Flow = Total cash receipts - Total cash payments                                    |  |     |     |     |     |       |
| Opening cash balance in X month = Closing cash balance in X-1 month                          |  |     |     |     |     |       |
| Closing Cash balance in X month = Opening cash balance in X month + Net cash flow in X month |  |     |     |     |     |       |
|                                                                                              |  |     |     |     |     |       |
| <b>Cash Budget</b>                                                                           |  |     |     |     |     |       |
|                                                                                              |  | Jan | Feb | Mar | Apr | Total |
| <b><u>CASH RECEIPTS</u></b>                                                                  |  |     |     |     |     |       |
| Receipts item (i.e cash sales)                                                               |  | xxx | xxx | xxx | xxx | xxx   |
| Total Cash Receipts [A]                                                                      |  | xxx | xxx | xxx | xxx | xxx   |
|                                                                                              |  |     |     |     |     |       |
| <b><u>- CASH PAYMENTS</u></b>                                                                |  |     |     |     |     |       |
| Payment X                                                                                    |  | xxx | xxx | xxx | xxx | xxx   |
| Payment Y                                                                                    |  | xxx | xxx | xxx | xxx | xxx   |
| Payment Z                                                                                    |  | xxx | xxx | xxx | xxx | xxx   |
| Total Cash Payments [B]                                                                      |  | xxx | xxx | xxx | xxx | xxx   |
|                                                                                              |  |     |     |     |     |       |
| Net Cash Inflow /(Outflow) [A-B]                                                             |  | xxx | xxx | xxx | xxx | xxx   |
| Opening Cash Balance                                                                         |  | xxx | xxx | xxx | xxx | xxx   |
| <b>Closing Cash Balance</b>                                                                  |  | xxx | xxx | xxx | xxx | xxx   |

You need to know how to construct this from scratch



# Solutions to cash deficiency

- Defer capital expenditure
- Consider leasing assets
  - Cheaper to lease rather than buy
- Increase cash settlements
  - e.g. offer discounts
- Improve credit control procedures
  - E.g. Make sure customers are chased regularly to pay us
  - E.g. Screen new customers for reliability to pay
- Raise long-term funding

# What to do with cash surplus

- Invest surplus cash
- Replace/update assets
  - Buy new machinery
  - Upgrade the factory
- Expand / diversify into new products/services
- Attempt to increase sales by purchasing goods with cash at a cheaper price, which will allow company to reduce selling price

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**Any Questions?**  
**Thank you for your participation**

